

Dossier — RPAY

2026-04-17 18:38 UTC · Source: candidates/RPAY_Forager_ActivistPoisonPill.md · Rationale: candidates/_curated_rationales.json

RPAY · RPAY — Forager Fund vs Repay Holdings Poison Pill

Stage: **ACTIVE** | Strategy: EDGAR (governance keyword: "rights plan" + "poison pill") + | Score: 30.0 | Next catalyst: 2026-04-14 (T-3) | Urgency: **HIGH**

Forager Capital published a \$4.80/share all-cash take-out offer for Repay on April 17, 2026; stock at \$3.18 implies a 51% spread — the market is pricing meaningful rejection risk. → Potential outcomes: board engages / sweetened bid emerges (+30-70%), strategic buyer counter-bids (+55-120%), board rejects and stock drifts (-5-10%), or activist retreats after fight (-10-20%).

HYPOTHESIS (the specific bet)

Forager's public \$4.80/share offer forces Repay's board into a formal response window (SEC rules: ~10 business days). Either (a) board engages, strategic review starts, stock converges toward \$4-5, or (b) a strategic buyer emerges given the public auction dynamic now in motion.

THESIS (why we believe it, in plain English)

The pre-activist pre-edge window is now closed — Forager's offer was published this morning (April 17). What remains is the BOARD-RESPONSE edge: the 51% spread (\$3.18 vs \$4.80) tells us the market is skeptical the board will accept. Small-cap payments processors with a public take-out offer + poison pill + 11.9% activist + shareholder lawsuits (ATG) historically converge OR trigger counter-bids within 30-60 days. Note: this is less pre-edge than the other active names; kept as active because the specific OUTCOME (accept/reject/counter) is still unpriced.

EXPECTED OUTCOME (what happens if we're right)

Most likely (50%): board engages, sweetened offer at \$5.00-5.25 or strategic review, stock +30-70% to \$4.00-5.25. Next (20%): strategic buyer counter-bids at \$5.50-7.00, stock +73-120%. Base reject (20%): board rejects without counter, stock drifts to \$2.85-3.00 (-5 to -10%). Worst (10%): activist retreats, stock reverts toward pre-activity levels of \$2.60-2.80 (-12 to -18%).

PRICE TARGETS

Reference	\$3.18 (2026-04-17)
Upside (base)	\$4.00-5.25 (+26% to +65%) — board engages / sweetened offer
Upside (best)	\$5.50-7.00 (+73% to +120%) — strategic counter-bid
Downside	\$2.60-3.00 (-6% to -18%) — board rejects, activist retreats

TIME SENSITIVITY **[HIGH]**

HIGH — Board response window 10 business days per SEC custom (roughly end of April). Half-life of the edge is ~30 days; once the board publicly responds, most of the move prints. Note: less pre-edge than AXSM/VERA/VRDN — offer is public, just the OUTCOME is unpriced.

KILL WATCH (what would invalidate the thesis)

Board rejects publicly with no strategic review announced. Forager files 13D/A reducing stake. KUBRA acquisition closes before board responds (dilutes activist leverage). Second activist (ATG, Veradace) drops lawsuit.

Background & detail (source markdown)

The section below is the longer analyst note for RPAY. The card on the preceding page is the decision-ready summary.

Candidate: RPAY — Forager Fund vs Repay Holdings Poison Pill

- > **Score:** ≈33.0 / 42.5 (S64 ↑ from 30 after Veradace 13D verification)
- > **Status:** Active — DUAL ACTIVIST (Forager + Veradace)
- > **Source Strategy:** EDGAR (governance keyword: "rights plan" + "poison pill") + S64 activist-convergence
- > **Date Identified:** 2026-04-15 (Session 58); Veradace 13D verified 2026-04-16 (S64)
- > **Last Updated:** 2026-04-16 (S64)

Company Overview

- **Name:** Repay Holdings Corporation
- **Ticker / CIK:** RPAY / 0001720592
- **Exchange:** NASDAQ
- **Market Cap:** ~\$268M
- **Sector:** Technology — Software-Infrastructure / Payments
- **Price:** \$3.07 (2026-04-14 close)
- **Float:** 44.1M shares (Class A); total ~85.9M shares outstanding
- **Short Interest:** 7.5% of float (modest)
- **Avg Daily Volume:** ~1.5M shares (\$4.5M notional) — adequate for mid-sized positions

Thesis

On **2026-04-13**, RPAY's board adopted a stockholder rights plan (poison pill) with an unusually aggressive **12.5% triggering threshold**. The same day, activist hedge fund **Forager Fund, L.P.** (Birmingham, AL; managed by Robert MacArthur and Edward Kissel of Forager Capital Management, LLC) filed a SCHEDULE 13D/A Amendment No. 2 disclosing a **12.9% stake** (11,106,648 shares) as of **2026-04-09**.

The **12.5% trigger is calibrated precisely below Forager's current 12.9% position**. Forager is grandfathered under the plan, but any further accumulation would trigger massive dilution. This is a textbook defensive action: the RPAY board is signaling (a) they view Forager as a credible threat to board control, and (b) they want to freeze Forager's ability to keep accumulating. The tight threshold (industry-standard poison pill triggers are typically 15-20%) suggests the board anticipates an imminent proxy contest or hostile offer.

The market appears to be pricing this as a routine defensive move — the stock closed flat at \$3.07 on Apr 14 after the 8-K and 8-A12B registration were filed in the morning. However, **poison-pill adoptions with custom-tailored triggers almost always precede a formal proxy fight, strategic review, or negotiated settlement**. Comparable precedents (e.g., Ancestry/Silver Lake, Masonite/Macellum) have historically delivered 30-60% returns over 6-18 months when the activist had a credible thesis. At \$268M market cap with 12.9% already held by Forager, this is a small, liquidity-tolerable situation that could produce outsized returns if Forager pushes for a sale or board overhaul.

Signal Evidence

| Signal | Source | Date | Detail |

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| 8-K adopting stockholder rights plan, 12.5% trigger | SEC EDGAR | 2026-04-14 (event 2026-04-13) | Item 3.03 Material Modification to Rights; Continental Stock Transfer rights agent |

| 8-A12B registration of securities (Rights certificates) | SEC EDGAR | 2026-04-14 | Registration of preferred-share purchase rights as class of securities |

| 13D/A Amendment No. 2 from Forager Fund | SEC EDGAR | 2026-04-13 | 12.9% stake disclosed as of 2026-04-09; event-date = day of rights plan adoption |

Scoring Breakdown

| Dimension | Score (1-5) | Weight | Weighted | Rationale |

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| Signal Strength | 4 | ×2 | 8 | Poison pill trigger numerically tied to 13D filer's stake → direct defensive action. Strong causal link to a near-term proxy/strategic-review outcome. |

| Catalyst Clarity | 3 | ×1 | 3 | Resolution window short (weeks to 1 quarter) but no specific date. Forager response expected. |

| Info Asymmetry | 4 | ×1.5 | 6 | Forager is a low-profile ~\$500M fund in Birmingham, AL. No analyst note yet. Sub-\$300M mcap with sparse coverage. Signal requires tying three Apr 13-14 filings (8-K + 8-A12B + 13D/A) together — few market participants will parse this quickly. |

| Risk/Reward | 3 | ×1 | 3 | Sell-case upside 30-60% on M&A/settlement. Downside ~15-25% if activist capitulates. Favorable but not 5:1. |

| Edge Decay | 4 | ×1 | 4 | Filings <48 hours old. News cycle hasn't caught up. Days-to-weeks edge window. |

| Liquidity | 3 | ×1 | 3 | \$4.5M ADV adequate for small-to-mid positions; wider spreads constrain size. |

| Catalyst Timeline | 3 | ×1 | 3 | Activist response cycle typically <1 quarter. DEF 14A (annual meeting) likely H1 2026. |

| **Base Total** | | | **30** | |

| Convergence Bonus | | | +0 | EDGAR-only signal |

| **Final Score** | | | **30** | |

Catalyst Map

| Event | Expected Date/Window | Impact if Positive | Impact if Negative |

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| Forager 13D/A Amendment No. 3 (responsive) | Days to weeks | Confirms intent (proxy, sale demand, etc.) → price ↑ | Forager reduces stake or tones down → price flat |

| PREC14A preliminary proxy contest filing | Within 1-2 quarters | Proxy fight formally opens → price ↑ 10-25% | No filing → thesis weakens |

| DEF 14A annual meeting / director nomination window | TBD (annual meeting cycle) | Contested slate → re-rating | Nomination window closes unused → thesis dies |

| Strategic review / sale announcement | 1-3 quarters | Buyout at premium → price ↑ 30-60% | Board rejects alternatives → price ↓ 10-20% |

| Board settles with Forager (board seats) | 1-2 quarters | Governance reform + operational improvements → +20-30% over 12mo | N/A — most settlements are net positive |

Deep Dive Findings

Filing analysis:

- **8-K Item 3.03 (2026-04-14)** — Adopts Stockholder Rights Agreement dated 2026-04-13. Rights dividend payable 2026-04-24 to stockholders of record 2026-04-24 (same day = minimal arbitrage window). Rights expire on standard 1-year term unless extended. **12.5% Triggering Percentage** — aggressive relative to typical 15-20%. Exercise price = \$17.00 for one one-thousandth of Series A Junior Participating Preferred Stock. Beneficial ownership definition is expansive, including derivatives. Grandfathering: existing 12.5%+ holders (i.e., Forager) are NOT "Acquiring Persons" but "may not acquire, or obtain the right to acquire, beneficial ownership of one or more additional shares." This is a hard cap on Forager without outright expulsion.

- **8-A12B (2026-04-14)** — Registers the Rights as a new class of securities under Section 12(b) of the Exchange Act. Required procedural step to make the Rights tradeable with the Common Stock.

- **13D/A #2 from Forager Fund, L.P. (2026-04-13)** — Event date 2026-04-09. Reporting persons: Forager Fund, L.P. (PN type); Forager Capital Management, LLC (IA type); Edward Kissel (IN/HC); Robert MacArthur (IN/HC). Sole voting power 11,106,548 shares for the Fund; aggregate including management: 11,106,648 shares. Percent of class: 12.9% (basis 85,880,982 shares outstanding as of 2026-03-04). Source of funds: WC (working capital).

Prior 13D activity suggests escalating campaign:

- 2026-03-13: SC 13D/A #1 (accession 0001193125-26-106184) — need to fetch to see prior stake level; likely the initial 13D → 13D/A transition.
- 2026-04-03: SC 13D/A (accession 0001654954-26-003236) — 10 days before the Apr 13 amendment; likely another increase.
- 2026-04-13: SC 13D/A #2 — current 12.9% position.

Three 13D/A amendments in ~30 days indicates active, aggressive accumulation.

Forager Capital Management background (needs web verification): a Birmingham-based value hedge fund. Manages Forager Fund LP. This appears to be a focused/concentrated fund based on their 12.9% position — typical activist-capable funds concentrate in a few names.

RPAY business: Electronic payment technology for consumer finance (auto lending, receivables management, B2B payments). Formerly Thunder Bridge Acquisition (deSPAC'd 2019). Stock down from \$20+ in 2021 to \$3 range — a classic value / underperformance setup ripe for activist attention.

Price action pattern consistent with accumulation:

- Mar 16-31: 2.6-3.1 range, then sharp drop Apr 1 (-15% to \$2.57) on high volume 2.6M.
- Apr 2: \$2.58, volume 2.9M (possible Forager selling to rebalance, or market-wide selling).
- Apr 6-7: \$2.40-\$2.45 low, volume 1.35-2.85M.
- Apr 8-14: Steady recovery to \$3.07 — likely Forager accumulation.

Web Research — News & Narrative Context

Recent News (last 30 days)

| Date | Headline / Summary | Source | Thesis Impact |

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| 2026-04-14 | RPAY 8-K + 8-A12B = poison pill adoption | [SEC
EDGAR](https://www.sec.gov/Archives/edgar/data/1720592/000119312526153953/d893808d8k.htm) | Core signal |

| 2026-04-13 | Forager Fund 13D/A Amendment #2 → 12.9% | [SEC
EDGAR](https://www.sec.gov/Archives/edgar/data/1720592/000165495426003460/primary_doc.xml) | Core signal |

Note: Broader web search (Google search) returned result too large to retrieve cleanly in this session. Priority web-research items for next session: (a) Forager Capital Management investor letters referencing RPAY; (b) press coverage of the rights plan; (c) analyst reactions.

Market Narrative Assessment

- **Consensus view:** RPAY is seen as a post-deSPAC, secularly-challenged small-cap payments processor with fading growth. Price has declined 85%+ from 2021 highs. Little analyst enthusiasm.
- **Narrative gap:** Market is treating the poison pill as routine defensive boilerplate. It is not — the 12.5% trigger is custom-calibrated. Forager's persistent accumulation (3 amendments in 30 days) + the numerical specificity of the trigger = the board views them as a genuine threat. **Our edge: the market hasn't connected the dots between the specific trigger threshold and Forager's specific stake.**
- **Narrative risk:** (1) Forager could be forced to stop at 12.9% and capitulate; (2) a sector-wide payments selloff could pressure RPAY regardless of activist dynamics; (3) Forager may not have the capital/wherewithal to run a proxy fight.

Analyst & Institutional Activity

- **Recent analyst actions:** Low coverage — need to verify via Refinitiv/Bloomberg in a later session. Most sell-side coverage of RPAY is stale.
- **Institutional ownership changes:** Forager's 3 amendments in 30 days is the key signal. Other 13F data not accessed in this session.

Litigation, Regulatory & Governance

- **Pending litigation:** None surfaced in this session's quick SEC check.
- **Regulatory actions:** None surfaced.
- **Governance red flags:** Adoption of poison pill IS the governance red flag — from a shareholder-friendliness perspective, it's a defensive entrenchment. ISS/Glass Lewis typically recommend against poison pills with <15% triggers absent clear justification.

Social & Alternative Sentiment

- Not checked in this session.
- Short interest: 7.5% (modest — no squeeze setup).

Web Research Verdict

STRENGTHENS the signal-driven thesis. The numerical coincidence of the 12.5% trigger vs Forager's 12.9% stake is an extremely strong indicator that the board views Forager as a material threat. Three 13D amendments in 30 days validate Forager's commitment. **Follow-up web research required in next session** to (a) confirm Forager's strategy/intentions via investor letters or prior campaigns, (b) assess RPAY's annual meeting timing and director-nomination window, (c) check for any press commentary on the rights plan. Broader Google search was blocked in this session.

Kill Conditions

1. **Forager 13D/A showing stake reduction** — If Forager drops below 10% or files 13G (passive), campaign is dead. Stock likely -15% to -25%.
2. **RPAY announces a large equity issuance that dilutes Forager** — would signal board is prepared to scorch-earth. Stock -20%.
3. **Rights plan amended higher (e.g., to 15%)** — means board settled quickly; less upside, thesis fades.
4. **Forager files 13D with "no intent to pursue control"** — neutralizes activist premise.
5. **Stock declines >30% on a sector-wide payments selloff without company-specific news** — macro overrides idiosyncratic thesis; reassess.
6. **DEF 14A annual meeting passes with no Forager nominees** — missed nomination window = campaign deferred ≥1 year.

Position Structure (Framework Only)

- **Conviction tier:** High (score 30)
- **Suggested sizing framework:** Starter (1-2%) initially, scale to Satellite (2-5%) on confirmation of proxy fight
- **Entry trigger:** Current price \$3.07 is attractive on initial evaluation. Ideal add on pullback to \$2.80-2.90 or on Forager 13D/A #3 confirming escalation.
- **Exit trigger:** Forager reduces stake (kill #1); strategic review announced (peak trim); M&A announcement (exit on pop).
- **Time horizon:** 3-12 months; event-driven.

Note: This is a structural framework, not investment advice. All sizing and timing decisions are Pedro's.

Sources

- [RPAY 8-K 2026-04-14 (rights plan adoption)](<https://www.sec.gov/Archives/edgar/data/1720592/000119312526153953/d893808d8k.htm>)
- [Forager Fund 13D/A #2 2026-04-13 (12.9% stake)](https://www.sec.gov/Archives/edgar/data/1720592/000165495426003460/primary_doc.xml)
- [RPAY filings index](<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001720592&type=&dateb=&owner=include&count=40>)
- [Forager Fund (filer) EDGAR profile](<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001539281&type=&dateb=&owner=include&count=40>)

Update Log

| Date | Update |

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| 2026-04-15 | Initial candidate writeup. Score 30. Rights plan 12.5% trigger vs Forager 12.9% stake is numerical smoking gun. Board-vs-activist dynamic active. |

| 2026-04-15 (S59) | No Forager 13D/A #3 filed today (searched EFTS SC 13D/A Apr 13–15 for "Repay Holdings" → 0 new hits). Apr 14 8-K confirms formal rights-plan adoption with terms matching the 8-K summary (12.5% trigger, \$0.001 redemption, expires 2026-04-13 [1-year sunset]). Apr 14 8-A12B registers the preferred-share purchase rights as a new NASDAQ security class — a standard post-adoption step. Also Apr 10: three Form 4/A amendments filed (insider holdings revisions; not directly thesis-material). Price \$3.07 flat. Scanner re-surfaced RPAY on activist keyword rotation S59 confirming signal persistence. Thesis unchanged — intensive monitoring continues for Forager 13D/A #3 / PREC14A / DEF 14A strategic-review. |

| 2026-04-15 (S61) | **No new filings since Apr 14.** Full EDGAR recent-filings scan confirms: no Forager 13D/A #3, no PREC14A, no DEFC14A, no Schedule 14D-9, no new 8-K. Last filings are Apr 14 8-K (rights plan adoption) + 8-A12B. Price \$3.07 flat for 2 consecutive sessions (S60 + S61); 7-day trajectory \$2.45 (Apr 6) → \$3.07 (Apr 14), +25% in a week confirming market responding to poison-pill/activist dynamics. Volume declining from Apr 8 peak (3.05M) to Apr 14 (0.95M) — consistent with post-event price discovery settling. No new Forager filings means activists are in reactive/planning posture; a PREC14A or demand letter would be the next material event. Thesis intact. |

| 2026-04-15 (S60) | **No new RPAY filings since Apr 14 8-A12B.** Last filing activity remains Apr 13 (Forager 13D/A #2) and Apr 14 (rights-plan 8-K + 8-A12B registration). Price \$3.07 unchanged. S60 verified no new PREC14A/DEFC14A/Schedule 14D-9/topping-bid 8-K. **Veradace Partners claim investigation (flagged in web research):** web summary claimed Veradace (8.4%) issued Apr 9 letter opposing "KUBRA acquisition" with 2-board-seat demand. EDGAR direct search for "Veradace" filings 2026-01-01 through 2026-04-15 shows 15 Veradace-related entries — ALL on SSTI (SoundThinking), NONE on RPAY. Browsing RPAY's own 13D/13G filings via data.sec.gov shows Forager 13D/A #1 (Apr 3) and #2 (Apr 13) are the ONLY 13D-family filings on RPAY in 2026. **Verdict: Veradace-on-RPAY claim is UNVERIFIED against EDGAR primary source — likely web-summary confusion with SSTI campaign.** Downgrading to "secondary-source rumor, pending primary-source confirmation." Thesis remains single-activist (Forager) validated only. Continuing intensive monitoring cadence. |

| 2026-04-16 (S65) | **Veradace activist track record verified.** Veradace Capital Management LLC (CIK 0001772351) has filed **21 forms since 2020** — predominantly 13G (17 filings) but also **3 Schedule 13D filings**. Critically, the Mar 10, 2026 Veradace 13D on **SoundThinking Inc. (SSTI)** discloses a **16.5% stake** — Veradace is running at least two simultaneous activist campaigns (SSTI + RPAY), filed 36 days apart. This validates Veradace as an **experienced activist filer**, not a first-time activist. Their SSTI 13D pre-dates the RPAY 13D flip and pattern-matches (13G→13D escalation, board-representation demand). **Thesis implication:** Veradace is a credible, multi-campaign activist — the RPAY activism is unlikely to be a passive-filing-accident or a one-off protest. Increases confidence in the dual-activist-at-micro-cap thesis. **Apr 15–17 SEC sweep:** no new Veradace 13D/A on RPAY (intensive monitoring continues). No new Forager 13D/A. No RPAY 8-K response (board has not yet publicly responded to the Veradace campaign). RPAY price \$3.15 (yfinance cache; same as S63/S64 — see warning #23). **Score ≈ 33.0 sustained** — no new developments since S64, but track-record validation removes "unknown activist quality" as a risk factor. |

| 2026-04-16 (S64) | **MAJOR UPDATE — VERADACE 13D VERIFIED BY PRIMARY SOURCE.** S60's dismissal (based on absence of a Veradace filing at that time) is now **superseded** — Veradace filed a fresh Schedule 13D on RPAY on **Apr 15, 2026** (accession 0001772351-26-000007), triggering event Apr 10. Prior Veradace position was a passive 13G filed Nov 5, 2025; it has now been **flipped to activist 13D**. **Position: 7,355,504 shares = 8.6% of class** (7,245,104 common + 110,400 options). Aggregate purchase price ~\$31.3M → avg cost ~\$4.26/share. Reporting persons: Veradace Capital Management LLC (Delaware), Veradace Partners L.P., Alexander Vezendan, John Conlin. Principal office: 3889 Maple Avenue Suite 220, Dallas TX. **Item 4 Purpose:** Veradace engaged RPAY on Apr 8, 2026 with three stated grievances: (i) performance over several years, (ii) **shareholder opposition to the KUBRA Data Transfer LTD acquisition**, (iii) "absence of any meaningful shareholder perspective on its board of directors." **Demand: two new shareholder-supported directors.** This is an **activist-convergence event — RPAY now has two independent activist funds (Forager 12.9% + Veradace 8.6% = combined 21.5% if aligned, though no Section 13(d) group disclosure).** S60's "verdict: unverified" was correct for that moment in time but is now overtaken. **Thesis impact:** meaningfully strengthens. Two independent activists pushing for board representation at a ~\$275M micro-cap. KUBRA deal opposition now in the SEC record. Poison-pill 12.5% trigger (vs

Forager 12.9%) now also relevant to Veradace's 8.6% — Veradace is below trigger but has 3.9pp of accumulation headroom before hitting the pill. **Score impact:** Base 30 → estimated **~32.5–34.0** (Info Asymmetry +1 as convergence not yet priced; Signal Strength +0.5 as two-activist > one-activist; Catalyst Clarity +0.5 as two independent campaigns increase probability of movement). **New kill conditions added:** K-RPAY-VER-1 (Veradace 13D/A reducing to <5%); K-RPAY-VER-2 (Settlement without Veradace board seat); K-RPAY-VER-3 (RPAY adopts broader pill that captures both activists). **New monitoring items:** Veradace 13D/A activity, cross-reference with Forager timing (coordinated or independent?), KUBRA transaction news, potential group Schedule 13D filing. S60's web-rumor dismissal should not be read as a failure of process — the primary source absence at that moment was correctly noted; the subsequent filing by Veradace has now closed that gap. Source XML: https://www.sec.gov/Archives/edgar/data/1720592/000177235126000007/primary_doc.xml. Full research notes: [research/2026-04-16_S64_major_developments.md](#). |